Independent Valuation Study — Educational Analysis

Abu Dhabi Islamic Bank – Egypt S.A.E. (EGX: ADIB)

Fundamental analysis · technical analysis · Monte Carlo simulation — one integrated read

Anchor: EGP 52.05 (close 3 September 2026) · 1,500 million shares in issue · market capitalisation about EGP 78.1 billion (roughly US$1.6bn at 50.25 to the dollar) · Egypt's largest listed Islamic bank by assets · FY2025 attributable profit EGP 12.59 billion on a 43.7% return on equity, total assets EGP 346.7 billion · the six months to June 2026 added another EGP 7.54 billion of profit and took assets to EGP 414.3 billion · the swing factors are how much of that return survives the central bank's easing cycle, what a normal loss charge looks like after a half-year at almost nothing, and an Egyptian pound cost of equity near thirty per cent.

READ FIRST — what this document is, and is not

PRICE DATE 3 September 2026 — the latest known close, the price this valuation is measured against. ISSUE DATE 10 September 2026 — the day this edition was issued. A recalibration issues a new document carrying its own issue date; the two dates are stated separately because they are not the same fact.

This study is a valuation exercise and an expression of personal analytical opinion, published free of charge for educational purposes. It shows how one analyst applies fundamental, technical and probabilistic methods to a listed company, and invites scrutiny of that method. It is NOT investment advice, NOT a recommendation or solicitation to buy, sell or hold any security, and NOT directed at the circumstances of any reader.

The preparer is not licensed by any securities regulator in any jurisdiction, holds no Egyptian or other brokerage authorisation, provides no financial consultancy, manages no money, and accepts no fees, funds or clients.

All values are model outputs presented as ranges and distributions, because no single number should be relied on. There is no rating and no price target anywhere in this document.

A NOTE ON IDENTITY. ADIB-Egypt (EGX: ADIB), the subject of this study, is the Cairo-listed bank formerly known as National Bank for Development. Abu Dhabi Islamic Bank PJSC (ADX: ADIB) is its Abu Dhabi-listed parent and a different company; it is covered separately and nothing here refers to it.

WHERE THE NUMBERS COME FROM. Every historical figure is ADIB-Egypt's own audited or reviewed consolidated financial statements, downloaded from adib.eg: sixteen consolidated fiscal years from 2010 to 2025, plus the three and six months to March and June 2026. Every one of those statements was checked to add up before it was used. Forward-looking inputs — the growth path, the margin path, the loss charge, the cost of equity — are the preparer's judgements and are flagged as such throughout.

TWO CLOCKS. The fair value is a risk-adjusted anchor of roughly twelve months, struck against the 3 September close. The only genuinely three-month figures are the percentiles in section 3, which are anchored on the 23 August close because that is the last session in the price history this study holds. Never read one clock as the other.

Headline

ADIB-Egypt is a bank that has compounded through a currency collapse. Since 2019 it has taken total assets from EGP 60.3 billion to EGP 414.3 billion, financing to customers from EGP 30.7 billion to EGP 190.4 billion, and attributable profit from EGP 1.23 billion to EGP 12.59 billion — while the Egyptian pound went from about 16 to the dollar to about 50. Its return on equity in 2025 was 43.7%.

Two things make the next five years harder than the last five, and they are the whole of this study. The first is that the Central Bank of Egypt is cutting: its overnight deposit rate has come down from a peak above 27% to 19.00% and its own published path takes it to 12.00%. A bank earning a 6.64% margin on its assets in a 19% policy world does not earn it in a 12% one, and the asset side reprices faster than the deposit side. The second is the loss charge. ADIB-Egypt charged 2.176 million of expected credit losses in the six months to June 2026 — not billion, million, on a EGP 190 billion financing book. That is a release, not a run rate, and this study does not carry it forward.

The dividend-discount lens, which is the primary read for a bank, values the shares at EGP 44.46. Free cash flow to equity gives EGP 43.17 and residual income EGP 46.01 — a spread of EGP 2.84 across the three present-value reads. The market is at EGP 52.05. The study is 14.6% below it, the disagreement is audited in a separate review published with this document, and the two things that would close most of it are named there: a fresher Egyptian ten-year yield than the one this study is carrying, and a loss charge closer to the last six months than to the last four years.

Valuation summary — every read at a glance

Lens	Value per share	What it is	Role
Dividend discount	EGP 44.46	the cash a shareholder can be paid, after the balance sheet has taken the capital it needs to grow	PRIMARY — this is the central
Free cash flow to equity	EGP 43.17	the same flow built from the capital requirement rather than a payout ratio	cross-check
Residual income	EGP 46.01	today's book value plus the value of every future year's return above the cost of equity	cross-check
Relative multiples	EGP 60.82	Egyptian large-cap bank price-to-book and price-to-earnings bands applied to the 2026 forecast	cross-check — the weakest evidence here
Book value and sustainable return	EGP 47.47	the June 2026 book of EGP 29.04 a share at the price-to-book its own long-run return supports	cross-check
Normalised earnings power	EGP 34.59	what the bank earns on a mid-cycle margin and a mid-cycle loss charge, capitalised	reported only

Table 1 — the six reads, and which one is the answer

One lens is the central and the others are published beside it. They are not averaged: a weighted blend of lenses is a set of numbers nobody has ever tested, and this house retired the practice after a blend on another company landed 28% away from a market its own cash-flow lens had matched within 2%. For a bank the primary read is the dividend discount, because a bank's deposits are its raw material rather than its financing and the only thing that reaches a shareholder is what the capital rules let the bank pay out.

	Value per share	Against the 3 September close of EGP 52.05
Low end of the present-value reads	EGP 43.17	-17.1%
CENTRAL — dividend discount	EGP 44.46	-14.6%
High end of the present-value reads	EGP 46.01	-11.6%

Table 2 — the range, and what it is not

THE RANGE IS NARROW AND THAT IS A STATEMENT ABOUT THE LENSES, NOT ABOUT CONFIDENCE. It is the spread between the three present-value reads, and they agree because they are three ways of discounting the same capital-constrained flow. It is not a forecast confidence interval. Section 7 gives the measured one, and it is far wider: on this company's own sixteen-year history, a profit forecast made three years ahead by this method has landed anywhere between a third and one-and-a-half times the outcome.

Company overview

ADIB-Egypt is the Cairo-listed Islamic bank that Abu Dhabi Islamic Bank PJSC took control of in 2007, when it was called National Bank for Development. The filings tell that story plainly: the accounts are still headed "National Bank For Development (S.A.E.)" through the 2013 report, they carry a consolidated non-bank trading subsidiary with its own sales and cost-of-sale lines, and they show cumulative attributable losses of EGP 2.46 billion across 2010 to 2012 against a balance sheet of about EGP 14.4 billion. The bank was recapitalised three times, the conventional loan book was run off, and the accumulated deficit was not cleared until the end of the decade.

What it is now is a mid-sized Egyptian bank growing faster than the system. It funds itself with EGP 331 billion of customer deposits, lends EGP 190 billion to customers, and holds most of the difference in Egyptian treasury bills and government paper — the shape of almost every Egyptian bank, and the reason its earnings are as much a function of the policy rate as of its own lending. Financing to customers is 46.0% of total assets against 42.5% at the end of 2025, so that mix is actively shifting toward customer credit.

Issued capital has moved a great deal and the share count is the denominator of everything in this study, so it is worth stating once: capital rose from EGP 2.0 billion through 4.0, 5.0, 6.0 and 12.0 billion to EGP 15.0 billion at 30 June 2026, the last step a EGP 3 billion cash increase completed in the second quarter. At the LE 10 par value the filings state, that is 1,500 million shares today.

1 Fundamental valuation

A bank is not valued the way an industrial company is, and the difference is not cosmetic. An industrial valuation starts from enterprise value, subtracts debt and adds cash. For a bank, deposits ARE the raw material — the thing it buys and resells — so subtracting them as though they were borrowings produces a number with no meaning. Everything below is therefore built on equity: the flows are flows to the shareholder, the discount rate is the cost of equity, and there is no weighted average cost of capital and no enterprise-to-equity bridge anywhere in this study.

1.1 The cash-flow model — what the shareholder can actually be paid

The model projects the balance sheet first, applies a yield to the assets and a cost to the funding, and lets the margin fall out. It never sets a margin. The waterfall for each year runs: financing to customers, grossed up to total assets on the disclosed mix; income earned at the asset yield on the AVERAGE of the opening and closing balance sheet; the cost of deposits charged at the funding rate on the average of the liabilities that actually bear it; fees and other income as a rate on average assets; administrative costs grown from the FY2025 base; the loss charge as a rate on average financing; tax at the effective rate the bank actually pays.

WHY THE AVERAGE BALANCE SHEET AND NOT THE CLOSING ONE. ADIB-Egypt grew total assets 33% in 2025 and 19.5% in the first half of 2026. Applying a full year of yield to a closing balance sheet would credit twelve months of income to assets the bank held for six, and would inflate every projected profit in this study by a large and entirely artificial margin. Every rate below is applied to an average.

EGP million	FY2025A	H1-2026A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Financing income	49,262	29,118	60,774	68,989	73,780	78,542	83,481
Cost of deposits	-29,110	-16,864	-36,720	-40,497	-42,228	-43,977	-46,262
Net income from funds	20,152	12,254	24,054	28,491	31,551	34,565	37,219
Net fees and commissions	2,730	1,517	3,241	4,222	5,122	5,908	6,570
Other non-interest income	721	—	1,134	1,339	1,463	1,599	1,701
Administrative expenses	-3,431	-2,239	-4,598	-5,425	-6,239	-7,082	-8,002
Other operating expenses	-1,176	-1,516	-3,039	-3,604	-3,963	-4,170	-4,251
Expected credit losses	-1,514	-2	-1,826	-3,201	-3,908	-4,566	-5,177
Profit before tax	17,482	10,722	18,968	21,821	24,026	26,254	28,058
Tax	-4,881	-3,171	-5,406	-6,219	-6,847	-7,482	-7,997
Attributable profit	12,589	7,537	13,548	15,587	17,161	18,753	20,042

Table 3 — the profit build, with the two reported periods beside it

	FY2025A	H1-2026A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Net interest margin (OUTPUT)	6.64%	6.44%	5.94%	5.53%	5.17%	4.97%	4.81%
Cost-to-income (OUTPUT)	14.5%	—	16.2%	15.9%	16.4%	16.8%	17.6%
Return on average assets (OUTPUT)	4.15%	—	3.35%	3.03%	2.82%	2.70%	2.60%
Return on average equity (OUTPUT)	43.7%	38.6%	32.5%	28.8%	26.8%	25.7%	24.7%
Dividend payout (DERIVED)	11.7%	—	18.2%	31.0%	46.6%	53.4%	62.0%
Equity / total assets	9.98%	10.51%	10.50%	10.50%	10.50%	10.50%	10.50%

Table 4 — the ratios that fall out — every one of them an output, none an input

THE PAYOUT IS NOT A CHOICE THIS STUDY MADE. Equity is pinned each year at 10.5% of total assets — the level the bank actually stood at on 30 June 2026 — and the dividend is whatever profit is left after getting there. A bank growing its balance sheet by a third cannot also distribute, and the arithmetic says so rather than a sentence saying so beside a typed ratio. The derived path opens at 18.2% for 2026 against the 11.7% ADIB-Egypt actually paid on its 2024 earnings, which is the closest thing to an external check this driver has.

1.2 Book value and the return it sustains

Attributable book value was EGP 29.04 a share at 30 June 2026 — EGP 43.56 billion over 1,500 million shares. That is the floor: what a shareholder owns if the bank stops compounding tomorrow. Capitalised at the price-to-book its own long-run return supports (1.63 times, from a 24.7% terminal return against a 17.8% terminal cost of equity and 7.0% growth), the same book is worth EGP 47.47 a share.

One thing the book value hides and this study will not. The EGP 3 billion capital increase completed in the second quarter of 2026 issued 300 million new shares at the LE 10 par value, against a book value per share of about EGP 28.83. Book value per share moved from EGP

28.83 at the end of 2025 to EGP 29.04 at 30 June — six months at a 38.6% annualised return on equity bought existing holders less than one per cent of book. The growth was real and so was the dilution.

1.3 Relative multiples

At the central the shares stand on 1.37 times forecast 2026 book and 4.9 times forecast 2026 earnings. At the market they stand on 1.60 times and 5.8 times. Applying the price-to-book and price-to-earnings bands Egyptian large-cap banks trade in to the 2026 forecast gives EGP 60.82 a share.

THIS IS THE WEAKEST EVIDENCE IN THE STUDY AND IT IS SAID SO RATHER THAN DRESSED UP. No same-day book value could be sourced for any Egyptian bank other than ADIB-Egypt itself. Commercial International Bank's price is held on the same date — EGP 138.98 on 3 September — and its book value is not. The multiple read is therefore a BAND, it is published as a cross-check and not as part of the answer, and it happens to be the lens pulling upward: on its own it says EGP 60.82.

1.4 Normalised earnings power

What does ADIB-Egypt earn in a normal year? On a 5.5% net interest margin — below the 6.64% it earned in 2025 and the 6.44% the June half annualises to — and a 1.50% loss charge rather than the 0.003% of the last six months, the bank earns about EGP 7.75 a share, and capitalised at the current cost of equity that is worth EGP 34.59. The point of the exercise is not the number but the check: a multiple applied to 2025's margin or to the June half's loss charge is capitalising a peak.

1.5 Synthesis — one lens is the answer

The dividend discount is the central at EGP 44.46. Residual income, the relative multiple and book value sit beside it as cross-checks, and free cash flow to equity is published because it is the same flow reached a different way. They are not averaged. The envelope is the range of the three present-value reads — EGP 43.17 at the low end, EGP 46.01 at the high — and no spread is invented around it.

Lens	Per share	Against the central	Present-value read?
Dividend discount (PRIMARY)	EGP 44.46	0.0%	yes — in the envelope
Free cash flow to equity	EGP 43.17	-2.9%	yes — in the envelope
Residual income	EGP 46.01	3.5%	yes — in the envelope
Relative multiples	EGP 60.82	36.8%	no
Book value and sustainable return	EGP 47.47	6.8%	no
Normalised earnings power	EGP 34.59	-22.2%	no

Table 5 — every read, and which ones set the envelope

The three present-value lenses land within EGP 2.84 of each other, which is worth a sentence because they did not always. An earlier version of this model typed a dividend payout path instead of deriving it, and under that version the dividend lens and the free-cash-flow lens disagreed by about EGP 7.00 a share while the model quietly accumulated capital it had no use for. The disagreement between two lenses was the only thing that said so.

1.6 The drivers

Driver	FY2025	H1-2026	The path, and why

	actual	actual	
Financing to customers	EGP 147bn	EGP 190bn	+48% in 2026 then 26 / 19 / 15 / 12%. The bank was already at EGP 190bn at 30 June, so 2026 asks for only +14% in the second half against +29% in the first. The path decays toward nominal GDP growth by 2030.
Asset yield	16.23%	15.30%	15.0 → 10.8%, falling at about 0.75 of the central bank's published policy glide from 19.00% to 12.00%. An INPUT.
Cost of funds	11.22%	—	10.6 → 7.0%, at about 0.80 of the same glide. Slower than the asset side, which is why the margin compresses. Charged on customers' deposits, due to banks and subordinated financing — the balances that actually bear it, and nothing else. An INPUT.
Net interest margin	6.64%	6.44%	AN OUTPUT of the two rows above. 5.94% → 4.81%. It is never typed.
Cost of risk	1.25%	0.003%	1.00% in 2026 and 1.30% thereafter — below the 2022-25 mean of 2.09% and far above the six months to June. The single most consequential judgement here.
Net fees / average assets	0.90%	0.80%	0.80 → 0.85%, opening at the reviewed half and recovering slowly.
Administrative expenses	EGP 3.43bn	EGP 2.24bn	+34% in 2026, then inflation plus about six points. Cost-to-income is an OUTPUT of this and the revenue lines.
Effective tax rate	27.9%	29.6%	28.5%, above the 22.5% statutory rate because the withholding on treasury-bill income is not creditable.

Table 6 — the eight drivers, and the three ratios that are outputs of them

1.7 The crux

Every bank study has one load-bearing tension. ADIB-Egypt's is that the two things making it look cheapest are the two things least likely to persist, and they are both in the same six months of accounts.

The June 2026 half printed a 38.6% annualised return on equity and charged 2.176 million of credit losses. Annualise that half and the bank earns about EGP 15.1 billion in 2026 and the shares are on four times earnings. Do it for five years and this study's central is EGP 57.22 a share rather than EGP 44.46. But a half-year at a 0.003% loss rate is not a business model; it is a release, on a book that carried charges of 2.7% of financing in both 2023 and 2024. The bank is growing customer financing at close to 30% a half — new lending does not default in its first year, and the loss charge on it arrives later.

The second half of the tension is the capital. Pinning equity at 10.5% of assets while assets grow a third takes EGP 14.1 billion of retained earnings in 2026 alone, against EGP 13.5 billion of profit. The bank has already answered this once, by issuing 300 million new shares at par in the second quarter — which funded the growth and cost existing holders most of the half's book-value gain. A reader who believes the growth should also believe there is more of that to come.

1.8 Macro and the cost of capital

Every rate in this study comes from one Egyptian macro path, and nothing is set independently of it. The Central Bank of Egypt's own baseline puts average headline inflation at 16.0% in 2026 and 12.0% in 2027; the path to the 7% target-band midpoint is a straight glide between those published endpoints and is labelled as interpolation, not as a forecast anybody published. The policy rate glides with it.

	2026	2027	2028	2029	2030	terminal
Headline inflation	16.0%	12.0%	9.0%	7.5%	7.0%	7.0%
Overnight deposit	19.00%	16.50%	14.50%	13.00%	12.00%	—

rate						
Cost of equity used	27.49%	25.55%	23.62%	21.69%	19.76%	17.82%

Table 7 — one path, and the discount rate that glides with it

Cost of equity	Rate	Where it comes from
Egyptian ten-year local-currency yield	23.00%	market quote of 6 August 2026
less the sovereign default spread	(3.42%)	so the country's own risk is charged once, not twice — it is already inside the equity premium
= normalised risk-free rate	19.58%	derived
Beta against the EGX30 index	1.0747	own-stock weekly regression, 256 observations over 4.9 years to 2026-08-20, R-squared 0.248, standard error 0.1634
of which the MATURE equity premium	4.32%	the total Egyptian premium of 9.52% less the country leg below. Beta multiplies THIS and nothing else
times the beta above	4.64%	derived
plus the country premium, charged FLAT and once	5.20%	the sovereign default spread scaled to equity volatility. Country risk is a charge on being here; it does not scale with a share's covariance, so it is added beside beta rather than multiplied through it
= COST OF EQUITY	29.42%	the rate used in the first forecast year
Terminal cost of equity	17.82%	a 10.50% terminal risk-free rate — itself derived as 7.0% terminal inflation plus a 3.5% real convention — plus the same beta times a normalised 7.0% premium

Table 8 — the cost of equity, built rather than quoted

EVERY CONTESTED CONSTRUCTION, PRICED. Built on the rating basis instead — a different column of the same source — the cost of equity is 30.84%, 142 basis points away, which is reassuring because the two are made of different inputs. Charging the raw yield AND a country-loaded premium, which is the construction this house retired, would give 33.23% and would be counting Egypt's default risk twice. And the market's own implied cost of equity, inverted from the 1.79 times book it is paying against the June half's return, is 24.62% — 480 basis points below the rate this study uses. That gap is a real disagreement and the study does not resolve it in its own favour.

ONE INPUT IN THIS STUDY IS STALE AND IT IS THE MOST IMPORTANT ONE. The Egyptian ten-year yield of 23.00% is dated 6 August 2026 — 34 days before the price this study is struck against, and beyond the fortnight this house allows such a quote to stand. A live re-source was attempted on 9 September down four routes and all four failed: the central bank's bond-auction pages return an error, its data endpoint returns the website rather than the data, and two market-data providers render their yield tables in a way that cannot be read without a browser. The only recent evidence found is that the same yield averaged 21.29% between late April and late May 2026, which is 171 basis points BELOW what this study is carrying. At that rate the central would be EGP 53.99 rather than EGP 44.46. The rate is carried, the staleness is declared, the sensitivity is in 1.9, and a current quote is the first thing this study would want.

1.9 Sensitivity

Move	Central	Change
cost of risk +50bp	EGP 39.46	-11.2%
cost of risk -50bp	EGP 49.46	11.2%
asset yield -50bp	EGP 34.57	-22.2%

asset yield +50bp	EGP 54.35	22.2%
cost of funds +50bp	EGP 36.00	-19.0%
cost of funds -50bp	EGP 52.92	19.0%
financing growth -5pp/yr	EGP 38.70	-13.0%
financing growth +5pp/yr	EGP 50.97	14.6%
risk-free +200bp	EGP 36.60	-17.7%
risk-free -200bp	EGP 55.97	25.9%
terminal growth +100bp	EGP 46.08	3.6%
terminal growth -100bp	EGP 43.09	-3.1%

Table 9 — what moves the answer, in order of how much

The margin drivers dominate, which is what a bank should look like: fifty basis points on the asset yield is worth 22.2% of the value and fifty on the funding cost 19.0%. The loss charge is worth 11.2% per fifty basis points. Terminal growth is worth almost nothing — 3.6% for a full percentage point — because the terminal discount rate is high enough that a far-future pound is worth very little today, and that is the honest shape of an Egyptian valuation rather than a modelling convenience.

2 Technical and price structure

The price closed EGP 54.40 on 2026-09-09, the last session in the history this study holds — 3,762 clean daily sessions after the data-quality screen.

	Levels
Resistance above	EGP 55.65 · EGP 57.00 · EGP 58.00
Support below	EGP 50.04 · EGP 48.24 · EGP 44.06

Table 10 — the charted levels

A daily close back above 55.65 would clear the nearest resistance; the next charted level above it is 58.00. A close below 50.04 would break the nearest support; the next charted level below it is 44.06.

A technical read is a description of where the price has been trading and what levels it has respected. It is not a forecast and it is not combined with the valuation: the two lenses are kept apart deliberately, and section 4 compares them without letting either adjust the other.

3 A probabilistic price map

This section is a distribution, not a view. It takes the price history through the same production chain the rest of this house uses — a data-quality gate, a Yang-Zhang variance estimate, a heterogeneous autoregressive volatility forecast, and 50,000 simulated paths on a Student-t shape with 5.0 degrees of freedom — and reports where the price lands. The shape and width parameters are not chosen here: they are read live from the engine, where they are fitted to a thirty-name Egyptian panel.

Anchor: EGP 54.40, the close on 2026-08-23. The drift is the Egyptian carry — the policy rate less the dividend yield — and nothing else; there is no view of direction in it beyond that.

Horizon	Resolves	5th	25th	Median	75th	95th	Chance higher
1 month	2026-09-23	EGP 46.98	EGP 52.40	EGP 55.69	EGP 59.23	EGP 66.06	61%

3 months	2026-11-23	EGP 42.27	EGP 51.66	EGP 57.83	EGP 64.72	EGP 78.98	64%

Table 11 — the percentile map, from 50,000 simulated paths

TWO CLOCKS, AND THEY ARE NOT THE SAME. The percentiles above are anchored on the 23 August close of EGP 54.40, because that is the last session in the price history this study holds. The fair value is struck against EGP 52.05, the 3 September close. A reader comparing the two should hold that eleven-day difference in mind; nothing has been adjusted to hide it.

What the distribution is worth. The width parameters were fitted on a thirty-name Egyptian panel rather than on this stock, so what is being claimed is a base rate for Egyptian equities of this volatility, not a forecasting edge in this name. The Egyptian shape is genuinely fat-tailed — 5.0 degrees of freedom rather than a normal distribution — and that is devaluation-jump risk, not a data artefact: it survived the repair of every known price-series defect in the panel. Read section 3 as a base rate.

4 Comparison of the lenses

Lens	What it says	Clock
Fundamental	central EGP 44.46, envelope EGP 43.17 to EGP 46.01, which is -14.6% against the 3 September close of EGP 52.05	about twelve months
Technical	Trading above the whole moving-average stack, on a rising 200-day; nearest support EGP 50.04, nearest resistance EGP 55.65	weeks
Probabilistic	a three-month median of EGP 57.83 with a 5th-to-95th range of EGP 42.27 to EGP 78.98, and a 64% chance of ending higher	three months

Table 12 — the three reads, side by side and never blended

The three disagree, and the disagreement is the useful part. The fundamental lens says the shares are dear; the technical read says they are in an uptrend a few per cent below a one-year high; the distribution says the next three months are close to a coin flip with a fat left tail. NOTHING HERE IS COMBINED. No output of one lens is an input to another, and no lens is adjusted because another disagrees — a comparison that lets the lenses talk to each other stops being three pieces of evidence and becomes one.

5 Catalysts to watch

- **The third-quarter statements, due around November 2026 —** The one number that matters is the expected-credit-loss line. If the nine months to September still carry almost no charge, the case for this study's 1.00% assumption weakens sharply and the central moves toward EGP 57.22. If the charge normalises in the third quarter, it strengthens.
- **Central Bank of Egypt monetary policy meetings —** The rate has been held for four consecutive meetings at 19.00%. The published path takes it to 12.00% by 2030. Cuts faster than that compress the margin faster than this study assumes; a pause does the opposite. Fifty basis points on the asset yield is worth 22.2% of the value.
- **Any further capital raising —** The bank issued 300 million shares at par in the second quarter of 2026 to fund growth. Pinning capital at 10.5% of assets while assets compound at these rates needs more of it. The terms matter as much as the amount: an issue at par against a book value near EGP 29.04 transfers value from existing holders.
- **The Egyptian pound —** Every line in this bank's accounts is in pounds. The house path derives the currency from its own inflation ladder rather than setting it by hand, so a devaluation outside that path moves the nominal figures without moving the real ones — and moves the sovereign yield the discount rate is built on.

- **A current ten-year yield —** Not a company event, but the largest single uncertainty in this study. The rate it uses is 34 days old; the only recent market evidence points 171 basis points lower, and that alone is worth EGP 9.52 a share.

6 Reading the probability zones

The percentiles in section 3 are not targets and not levels anyone expects. They are a way of saying how wide the range of plausible outcomes is, given how this stock has actually moved. The 25th-to-75th band is where half the simulated paths finish; the 5th-to-95th is where nine in ten do. One in twenty finishes below the 5th and one in twenty above the 95th, and both of those are ordinary rather than surprising.

The three-month band here runs from EGP 42.27 to EGP 78.98 — a spread of about 67% of the anchor price. That is wide, and it is wide because Egyptian equity returns have a genuinely fat left tail: the fitted shape carries 5.0 degrees of freedom, which is a formal way of saying that large single-day moves happen far more often than a bell curve allows. A reader who finds the band uncomfortably wide is reading it correctly.

7 Caveats and what would change our mind

HOW FAR AHEAD THIS METHOD CAN ACTUALLY SEE, MEASURED ON THIS COMPANY. Before this study was written, the forecasting method behind it was tested on ADIB-Egypt's own sixteen-year history: rebuilt at eleven past year-ends using only what had been published by each of those dates, projected forward one to five years, and scored against what the bank actually reported. 45 of those forecasts have matured for each of 14 drivers.

What it found. Against the naive rule of assuming last year repeats, the method is better by 40% on attributable profit and better on thirteen of fourteen drivers, and the improvement holds when the origins are resampled. Against the naive rule of extending the last three years' growth rate, it is a dead heat on profit (1%) and WORSE on balance-sheet volume. It under-forecast profit at every horizon and the shortfall widens with distance: -0.24 in logs at one year, -0.89 at five.

WHY IT UNDER-FORECAST, AND WHAT THIS STUDY DID ABOUT IT. The mechanical rule anchors lending volume on the size of the Egyptian credit system and holds the bank's share of it flat. ADIB-Egypt has taken share every year for a decade. So the rule was wrong in the same direction at all eleven origins — and this study does NOT hold share flat: its share path is stated in the drivers and audited in the gap review. No correction factor from that test enters this model. Every candidate either failed its own by-origin test or failed the check that it match how the same driver is built across the rest of the book, and a steady error usually means something is wired wrong rather than that a multiplier is missing.

WHAT IT MEANS FOR YEARS THREE TO FIVE. The measured spread of that record — how far the outcome sat from the forecast, three years out — runs from about a third of the projection to about one and a half times it. Appendix A publishes 2028, 2029 and 2030 as RANGES on that measurement rather than as points, and a reader should treat the far years of this or any five-year forecast accordingly.

THE FAIR-VALUE ENVELOPE IN THIS STUDY IS NARROW AND THAT IS NOT A CONFIDENCE STATEMENT. EGP 43.17 to EGP 46.01 is the spread between three ways of discounting the same capital-constrained flow, and they agree because they are close cousins. It is not the range of outcomes. The range of outcomes is in the box above and it is much wider.

- **The loss charge is the biggest judgement here —** The bank charged 2.176 million of credit losses in six months. This study assumes 1.00% of average financing in 2026 and 1.30% after. If the release proves structural the central is EGP 57.22; if the loss charge returns to its 2022-25 mean of 2.09% it is nearer EGP 22.00. Both ends are plausible on the evidence in hand.

- **The risk-free rate is 34 days old —** Named already in 1.8 and repeated here because it is the largest single uncertainty. Four live re-source routes failed on the study date. The only recent market evidence found points 171 basis points below the rate carried, which alone is worth EGP 9.52 a share.
- **The peer multiples could not be sourced properly —** No same-day book value could be obtained for any Egyptian bank other than ADIB-Egypt. The multiple lens is a band, it carries no weight in the answer, and it is the lens pointing highest.
- **One year of the history is a comparative, not an original —** No English 2021 consolidated filing exists on the bank's own site — the document published under that name is the Arabic one. The 2021 figures come from the comparative column of the audited 2022 statements. Same auditor, same issuer, but a comparative can carry a restatement the original did not.
- **The growth path assumes continued share gain —** Financing grows at 2.3 times nominal GDP in 2026, decaying to parity by 2030, which takes the bank from about 3.1% of Egyptian private credit to about 4.4%. That is slower than the share gain of the last decade and faster than none. If the bank simply grows with the system, the central falls by about 13.0%.
- **What would change our mind, in one line —** A third-quarter loss charge still near zero, or a current ten-year yield near 21%, would each move this study several pounds a share toward the market. A loss charge back at 2.7% of financing, or a policy rate cut faster than the published path, would move it away.

Appendix A — Financial statements

A.1 Income statement — three reported years and five forecast

EGP million	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Financing income	19,534	36,944	49,262	60,774	68,989	73,780	78,542	83,481
Cost of deposits	-10,609	-21,692	-29,110	-36,720	-40,497	-42,228	-43,977	-46,262
Net income from funds	8,924	15,253	20,152	24,054	28,491	31,551	34,565	37,219
Net fees and commissions	1,558	1,895	2,730	3,241	4,222	5,122	5,908	6,570
Other non-interest income	381	854	721	1,134	1,339	1,463	1,599	1,701
Administrative expenses	-1,922	-2,615	-3,431	-4,598	-5,425	-6,239	-7,082	-8,002
Other operating expenses	-773	-927	-1,176	-3,039	-3,604	-3,963	-4,170	-4,251
Expected credit losses	-1,634	-2,171	-1,514	-1,826	-3,201	-3,908	-4,566	-5,177
Profit before tax	6,535	12,290	17,482	18,968	21,821	24,026	26,254	28,058
Tax	-1,862	-3,274	-4,881	-5,406	-6,219	-6,847	-7,482	-7,997
Net profit	4,674	9,016	12,601	13,562	15,602	17,179	18,772	20,062
Attributable to the bank	4,671	9,009	12,589	13,548	15,587	17,161	18,753	20,042

Table 13 — income statement, reported and forecast

THE LAST THREE YEARS ARE AS FILED. 2023, 2024 and 2025 are each read from that year's own audited consolidated statements and every one of them adds up.

A.2 Balance sheet as reported

EGP million	FY2023A	FY2024A	FY2025A	H1-2026A
Financing to customers, net	63,100	95,691	147,226	190,427
Total assets	162,255	260,467	346,711	414,302
Customers' deposits	127,032	199,983	277,564	—
Total liabilities	147,890	237,480	312,076	370,689
Equity attributable to the bank	14,345	22,959	34,596	43,558

Table 14 — balance sheet, as reported

A.3 The projected balance sheet, the capital account and the far-year ranges

EGP million	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Financing to customers	217,895	274,547	326,711	375,718	420,804
Total assets	463,605	566,077	653,422	736,702	809,238
Attributable equity	48,679	59,438	68,609	77,354	84,970
Equity build required	14,082	10,759	9,171	8,744	7,616
Dividend	2,466	4,827	7,990	10,009	12,425
Net flow to shareholders	-534	4,827	7,990	10,009	12,425

Table 15 — the projected balance sheet and the capital account

The net flow to shareholders is negative in 2026 — -534 million — because that is the year the bank took EGP 3.0 billion of new equity in. A capital call is a negative dividend and it is shown as one rather than netted away.

Attributable profit, EGP million	Low	Point	High	Cells measured
2028	4,986	17,161	25,394	8
2029	7,747	18,753	43,995	7
2030	10,762	20,042	49,448	6

Table 16 — years three to five as ranges, not points

These ranges are not scenarios anyone wrote down. They are the measured spread of this forecasting method's own error on this company's own history, at three, four and five years ahead, applied to the point forecast. They are wide because that spread is wide, and publishing the point alone would be claiming a precision the record does not support.

Appendix B — Peers, risk register and the research register

B.1 Peers and the sector frame

Egypt has roughly forty banks and five that matter to a public-market comparison. This study holds a same-day price for exactly one of them — Commercial International Bank at EGP 138.98 on 3 September 2026 — and a same-day book value for none. That is a real limit and it is why the multiple lens carries no weight in the answer.

	What is held	What is not
Commercial International Bank (EGX: COMI)	price EGP 138.98, 3 September 2026, same file and same day as ADIB-Egypt's own	book value, earnings, capital ratio — none on the study date
Other listed Egyptian banks	nothing on the study date	prices and fundamentals; not sourced, and not substituted from memory
The band used	price-to-book 1.4-2.2x, price-to-earnings 5.5-8.5x, applied to the 2026 forecast	a point estimate — there is not enough here for one

Table 17 — the peer frame, and its holes

Sector context that IS held. Egyptian private-sector credit is about 26% of GDP, down from 36% in 2009 — the banking system has been shrinking relative to the economy for fifteen years while the government absorbed the savings. ADIB-Egypt is about 3.1% of that system's credit and rising. A reader who believes credit deepening resumes should believe this study's growth path is conservative; a reader who believes the crowding-out continues should believe the opposite.

B.2 Risk register

Risk	How it would show up	Sized
The loss charge normalises above the assumed path	the expected-credit-loss line in any quarterly statement	11.2% of value per 50 basis points
The margin compresses faster than the policy glide	net income from funds against average assets, quarterly	22.2% per 50 basis points on the asset yield
Further equity issued at or near par	issued capital in any balance sheet	not sized — depends entirely on the terms; the 2026 issue cost existing holders most of a half-year's book-value gain
The sovereign	the yield the discount rate is built on, and the government paper that is most of the balance sheet	17.7% per 200 basis points
Concentration in Egyptian government exposure	the split between financing to customers and treasury bills	not separately sized; it is the shape of every Egyptian bank
The growth simply stops	financing to customers, quarterly	13.0% if financing grows five points a year slower

Table 18 — risk register — every entry sized where it can be

B.3 The research register

Layer	What was read	Dated	Result
Company — statements	sixteen consolidated fiscal years, FY2010 to FY2025, plus Q1 and H1 2026, all from adib.eg	9 Sep 2026	obtained; every statement footed against its own arithmetic
Company — other	the 2024 annual report, the 2025 board report, the 2023 and 2024 investor-relations packs, the 2025 governance report	9 Sep 2026	obtained

Company — negative result	the English FY2021 consolidated filing	9 Sep 2026	DOES NOT EXIST — the file published under that name is the Arabic filing. Two alternative filenames returned 404. FY2021 taken from the FY2022 comparative.
Country — macro	Egyptian inflation, policy rate, sovereign yield, currency and terminal convention, from the house path	2 Sep 2026	obtained
Country — negative result	a current Egyptian ten-year yield	9 Sep 2026	NOT OBTAINED. Four routes tried: the central bank's bond-auction pages (404), its auction endpoint (returns the site shell), and two market-data providers (JavaScript-rendered tables, and a 403). The 6 August quote is carried and declared stale.
Industry	Egyptian private-sector credit and broad money, 2005-2025	9 Sep 2026	obtained; used for the share-of-system check
Peers	same-day Egyptian bank prices and book values	9 Sep 2026	PARTIAL — one price, no book values. Recorded rather than filled in.
Market	the share price and the price history	3 Sep / 23 Aug 2026	obtained; the two dates differ and section 3 says so

Table 19 — the research register, negative results included

Appendix C — Expert panel

Three readings of the same evidence, each by a different method, written to disagree rather than to converge.

C.1 Expert 1 — the balance-sheet reader

"Start with what is not in dispute. This bank funds itself at 11.22% and earns 16.23% on its assets, and the gap between those two numbers is the whole business. In 2025 that gap was 6.64% of average assets and it produced a 43.7% return on equity. Now watch what the central bank is doing: 19.00% today, 12.00% on its own published path. Both sides of my spread fall, but the asset side falls first and faster, because a treasury bill reprices in three months and a savings depositor takes longer to accept less. That is why my margin goes to 4.81% by 2030 and why I do not believe a 43.7% return survives the decade."

"The second thing I would say is that this bank does not have spare capital. Equity is 10.51% of assets. Growing assets by a third takes EGP 14.1 billion of it, and the bank earns EGP 13.5 billion. That is why the dividend is small and why they came to shareholders for EGP 3 billion in June. Anyone valuing this on earnings without asking what the balance sheet consumes is valuing a number the shareholder never sees."

C.2 Expert 2 — the credit reader

"I look at one line and it is the strangest line I have seen in an Egyptian bank's accounts this year. 2.176 million of credit losses in six months, on a EGP 190 billion book. The same half of last year was 732 million. The full year 2023 and 2024 were each about 2.7% of financing. Something has been released, and the statements do not tell me what."

"Here is why I would not extrapolate it. This book grew 29% in six months. Newly written financing does not go bad in its first year; it goes bad in its third. A bank growing this fast has a loss charge that lags its balance sheet by two or three years, so the charge you see today is levied on a book a third the size of the one you own. If growth slows and the seasoning arrives together, the charge does not go back to 1.3% — it goes to something worse for a couple of years. I would rather be wrong on the conservative side of that."

C.3 Expert 3 — the market reader

"You are all arguing about the cost of equity and calling it something else. The stock is at EGP 52.05, which is 1.79 times June book on a 38.6% trailing return. Invert that with a 7% terminal growth and the market is discounting at 24.62%. This study uses 29.42%. That is the entire disagreement — 480 basis points on a rate, not a view about credit."

"And I would point out where that rate comes from: a ten-year yield printed on 6 August, thirty-four days before the price. In late April and May the same yield was averaging 21.29%. Put 21.29% in and the answer is EGP 53.99. Put in what the market is implying and the answer is the market. I am not saying the model is wrong. I am saying the largest input in it is a month old and the study should say so — which, to its credit, it does."

C.4 Cross-examination

Expert 3 to Expert 2: "You will not extrapolate six months of credit data, but you will extrapolate four years of it. Why is the 2022-25 average more relevant than the most recent half?" Expert 2: "Because the average contains a devaluation and the half does not. I am not extrapolating either — I am picking a number between them and saying so."

Expert 1 to Expert 3: "The market's implied cost of equity is not evidence about the cost of equity. It is the market's price divided by my estimate of the return. If my return estimate is too low, your implied rate is too low too." Expert 3: "Agreed, and that is why I used the reported half rather than the forecast. It is the least model-dependent version of the calculation available."

Expert 2 to Expert 1: "Your margin path assumes the asset side reprices faster. Half this balance sheet is treasury bills — those reprice in ninety days. But the customer financing is Islamic, and a murabaha is priced at origination for its whole term. Are you sure the mix does not slow the repricing?" Expert 1: "Not sure. It would make the margin fall more slowly than I have it, which would raise the answer."

C.5 The three in one room

What they agree on: the balance sheet is growing far faster than the Egyptian economy and the capital to fund it is the binding constraint; the margin compresses as the central bank cuts; and the loss charge in the June half is not a run rate.

What they do not agree on: whether the disagreement with the market is about credit or about the discount rate. Expert 2 says the market is under-providing for a fast-growing book. Expert 3 says the market and the model differ by 480 basis points on one rate and everything else is decoration. Expert 1 says both are secondary to the capital call that has not happened yet.

C.6 Reading the divergence

The spread between the highest and lowest present-value read in this study is EGP 2.84 a share, which is small. The spread between the study and the market is EGP 7.59 a share, which is not. That shape — three lenses agreeing with each other and disagreeing with the price — is exactly the case where the lenses probably share an assumption. Here they share two: a 29.42% cost of equity built on a stale yield, and a loss charge normalised above the last six months. A reader who disagrees with either should not adjust the lenses; they should change those two inputs and read the sensitivity table.

About this series

Testahil publishes independent valuation studies as an educational exercise in method. Each study builds a company from its own filings, states every input with its source and date, and publishes ranges rather than points. Every forecast is recorded so that it can be graded later against what actually happened, and the grading is published whether it flatters the method or not.

This study was built alongside a test of its own forecasting method on ADIB-Egypt's own history — eleven past year-ends, rebuilt from what was published at the time and scored against what the bank reported. Section 7 gives the result, including the part where the method does no better than a naive growth rule.

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